

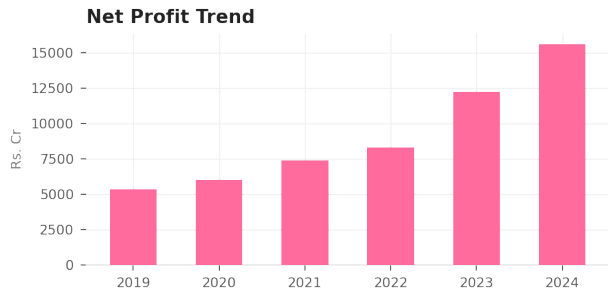
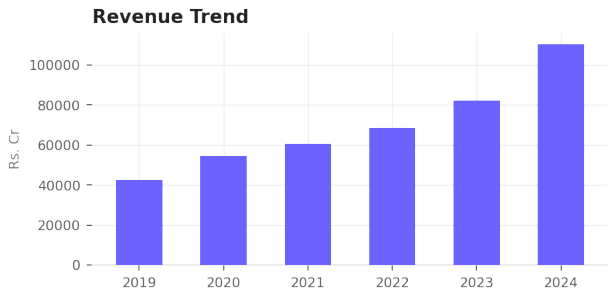
Bajaj Finserv Ltd

BAJAJFINSV | Financials - Diversified Financials | Large Cap

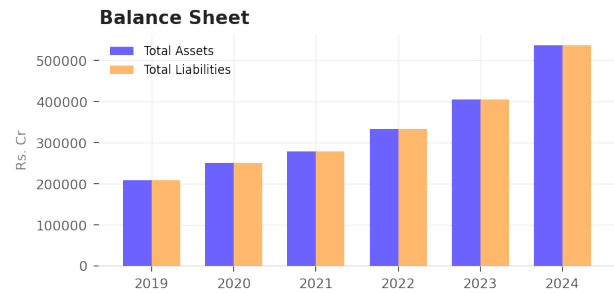
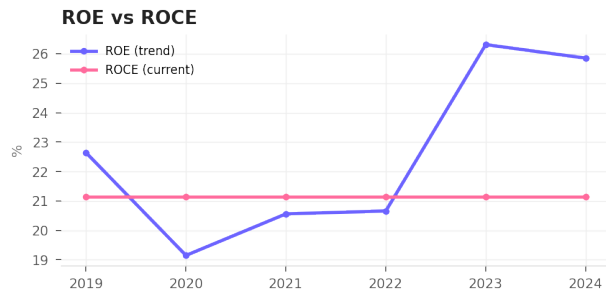
25.9%	21.1%	4.79x	15.1x	2.6%	25/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

CAPITAL ALLOCATION: GROWTH FUNDED BY DEBT

Operating cash flow is negative; growth is being funded through debt.



Bajaj Finserv Ltd - Financial Trends



Cons

Pros

- + Company has delivered strong sales growth of 25.8% CAGR over the last 5 years. (89% confidence)
- + Company maintains a strong operating margin of 37.0%. (86% confidence)
- + Company has a strong return on equity of 25.9%. (76% confidence)
- + Company has delivered strong profit growth of 18.2% CAGR over the last 5 years. (73% confidence)
- + Company has grown earnings per share at 14.9% CAGR over the last 5 years. (66% confidence)

- Company carries a high debt-to-equity ratio of 4.79. (98% confidence)
- Company's cash generation lags reported profits (CFO/PAT of -4.16x), an accrual risk. (98% confidence)
- Dividend payout has been low at 2.0% of profits. (90% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Company scores poorly on the composite quality framework (25/100). (79% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)